

EAAGADS LIMITED

ANNOUNCEMENT OF AUDITED RESULTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2022

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	31 March 2022	31 March 2021
	Kshs'000	Kshs'000
Revenue	142,234	139,662
Fair value gain on biological assets	9,685	4,121
Cost of production	(101,913)	(85,479)
Gross profit	50,006	58,304
Net operating costs	(41,962)	(53,644)
Profit before taxation	8,044	4,660
Tax credit /(charge)	333	(2,910)
Profit for the year	8,377	1,750
Revaluation surplus, net of tax	154,915	176,080
Total comprehensive income for the year	163,292	177,830
Basic and diluted earnings per share	0.26	0.05

STATEMENT OF FINANCIAL POSITION

	31 March 2022	31 March 2021
	Kshs'000	Kshs'000
EQUITY		
Share capital	40,196	40,196
Revaluation reserve	1,003,639	857,585
Retained earnings	129,145	111,907
	1,172,980	1,009,688
Non-current liabilities	97,315	86,519
Current liabilities	25,726	20,286
Total equity and liabilities	1,296,021	1,116,493

REPRESENTED BY:-

Non-current assets	1,153,985	1,003,295
Current assets	142,036	113,198
	1,296,021	1,116,493

STATEMENT OF CHANGES IN EQUITY

	Share capital Kshs'000	Revaluation surplus Kshs'000	Retained earnings Kshs'000	Total Kshs'000
At 1 April 2021	40,196	857,585	111,907	1,009,688
Profit for the year	-	-	8,377	8,377
Revaluation surplus on freehold land, net of tax	-	154,915	-	154,915
Transfer of excess depreciation	-	(8,861)	8,861	-
At 31 March 2022	40,196	1,003,639	129,145	1,172,980

STATEMENT OF CASH FLOWS

	31 March 2022	31 March 2021
	Kshs'000	Kshs'000
Net cash generated from operating activities	8,908	36,597
Net cash generated from/(used in) financing activities	919	(37,622)
Net increase / (decrease) in cash and cash equivalents	9,827	(1,025)
Cash and cash equivalents at the beginning of the year	1,256	3,849
Effect of exchange rate changes on cash and cash equivalents	(1,406)	(1,568)
Cash and cash equivalents at the end of the year	9,677	1,256

RESULTS SUMMARY

The above are extracts of the Financial Statements of Eaagads Limited that were approved by the Board of directors on 29th July 2022. These accounts were audited by Ernst & Young LLP, Certified Public Accountants and received an unqualified audit opinion.

PERFORMANCE

In the year under review, the company produced 188 tons of coffee compared to 233 tons last year. The decrease in the yield was mainly attributed to unfavorable weather conditions resulting in a lower late crop harvest. Despite the fall in the crop yield, sales incomes grew by Kshs 2.6 million, up from Kshs. 139 million last year to Kshs. 142 million. Crop prices averaged USD 6.90 per kilogram compared to USD 5.52 per kilogram last year and this was as a result of increased focus on direct sales, improved coffee bean quality and higher international coffee prices.

To ensure sustainability of the coffee bushes, various intense coffee upkeep activities were undertaken to boost future productivity pushing the cost upwards by Kshs. 16 million. Farm management fees remained constant at USD 90 per hectare.

The company revalued its freehold land (44 hectares) resulting in a revaluation gain of Kshs. 155 million. The remaining land which measures 341 hectares is held on a leasehold basis and is not subjected to valuation in line with the International Accounting Standards

OUTLOOK

The future of the farm looks promising as evidenced by the good flowering exhibited on the trees for 2022/23 production season. The company is on course towards achieving its early crop harvest of 200 tons and a late crop harvest of 150 Tons. Although the weather forecasts indicate depressed rainfall patterns, Eaagads farm management continues to put in place measures to ensure attainment of the crop projections.

International coffee market prices have also greatly improved due to increased demand. According to ICO, Production for 2022-23 coffee season is expected to be lower than the demand mainly due to an anticipated low production in the South America coffee buffer zones. Looking ahead, the prices are likely to remain attractive as the world looks at depressed production. Eaagads coffee continues to attract a premium in the market due to its superior coffee quality. The farm continues to be managed by Coffee Management Services Ltd.

DIVIDEND

The board of directors do not recommend payment of a dividend for the year ended 31 March 2022 (31 March 2021: Nil)

By the Order of the Board

Company Secretary

29th July 2022